

Uber Technologies

NYSE : UBER · \$144.19B mkt cap · 2.04B sh · \$2.7B cash, zero debt · ~\$2.7B net cash; ~2.04B shares; \$20B buyback authorization (2025); Revenue \$52B Mature- / gross bookings \$193.5B FY25 (+19% GB); \$9.76B FCF (+40% YoY), ~14x EV/FCF; Down ~30% from highs on AV fear; ads >\$2B run-rate, Company DCF Uber One ~50M members

\$70.84

THE CENTRAL QUESTION

Is Uber a dominant FCF-inflecting mobility/delivery network at ~14x EV/FCF — or does autonomy commoditize its driver-marketplace and erode the network toll?

Uber trades at ~\$145B (≈\$70/sh, down ~30% on AV fear) — ~14x EV/FCF on \$9.76B FCF (growing 40%+), \$193.5B gross bookings (+19%), net cash and a \$20B buyback. The mature DCF asks whether the two-sided network + advertising (>\$2B run-rate) + delivery-margin ramp compound, or whether Waymo/Tesla bypass the marketplace. The finding: at 14x FCF for a network compounding GB ~mid-teens with expanding margins, the modal case implies meaningful undervaluation — but a genuine AV-disruption ultra-bear is -44%, so the sign is a bet on Uber remaining the AV demand-aggregator.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$104.27
expected fair value today
+47.2% vs spot \$70.84

FORWARD COMPOUNDED VALUE

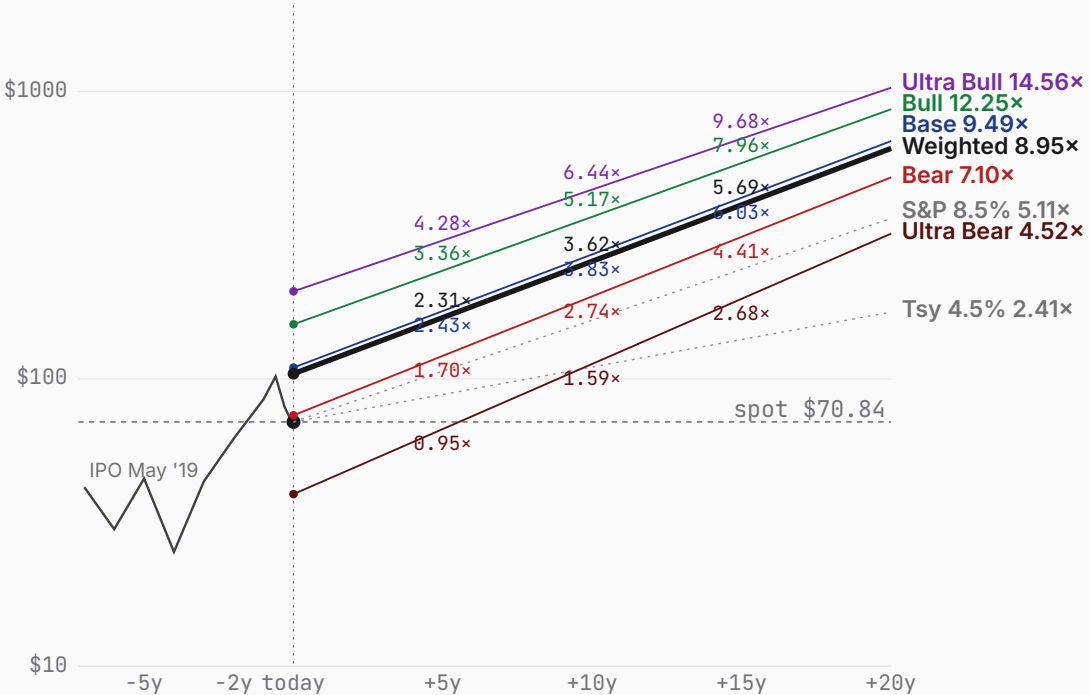
+5y	+10y	+15y	+20y
\$163.54	\$256.72	\$403.31	\$634.11
2.31× spot	3.62× spot	5.69× spot	8.95× spot

WEIGHTING RATIONALE

- Ultra Bear 15% AV bypasses marketplace; ~\$40 (-44%).
- Bear 27% AV pressure; decel; ~\$75 (+6%).
- Base 33% Stays AV aggregator; ads + delivery; ~\$110 (+55%).
- Bull 18% Network holds; AV accretive; ~\$155 (+120%).
- Ultra Bull 7% The AV demand layer; ~\$202 (+187%).

Bull (18%) + Ultra Bull (7%) together contribute \$41.99 — 40% of the \$104.27 expected value despite 25% combined probability. Today's spot (\$70.84) sits 32% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$39.73	BEAR	\$74.74	BASE	\$109.49	BULL	\$154.85	ULTRA BULL	\$201.73
	-43.9% vs spot		+5.5% vs spot		+54.6% vs spot		+118.6% vs spot		+184.8% vs spot
CAGR +1.0% WACC 11.0% CAGR +1.0% Prob 15%		CAGR +5.2% WACC 10.0% CAGR +5.2% Prob 27%		CAGR +9.0% WACC 9.5% CAGR +9.0% Prob 33%		CAGR +11.4% WACC 9.0% CAGR +11.4% Prob 18%		CAGR +13.4% WACC 8.5% CAGR +13.4% Prob 7%	
AV bypasses the marketplace; toll erodes.		AV pressure; growth decelerates.		Stays the AV aggregator; ads + delivery margin.		Network holds; ads scale; AV accretive.		The AV demand layer; advertising platform.	

PROBABILITY WEIGHTS

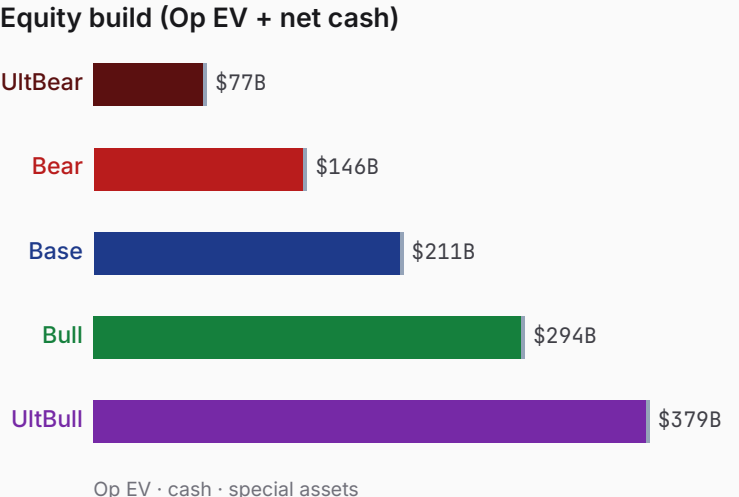
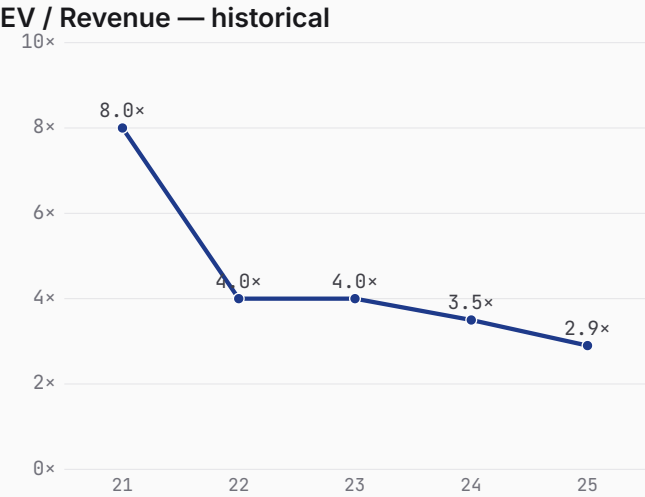
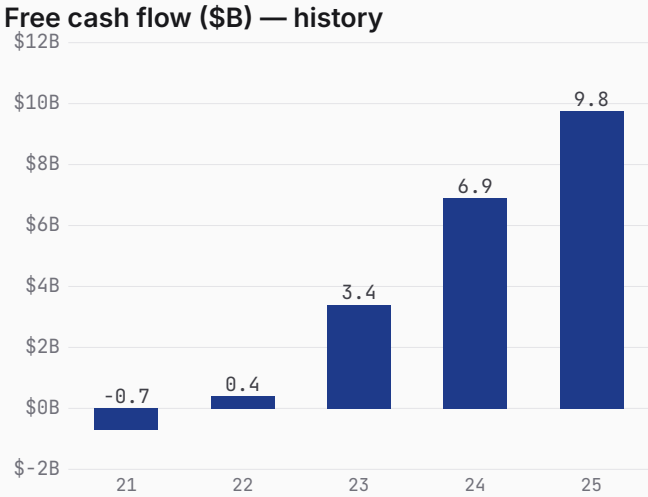
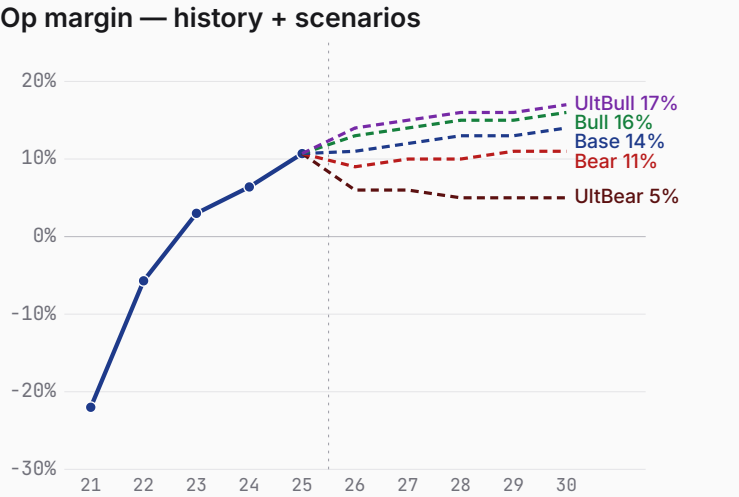
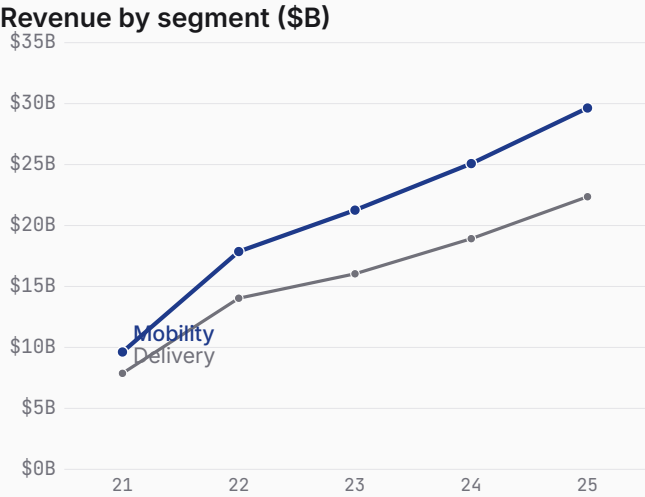
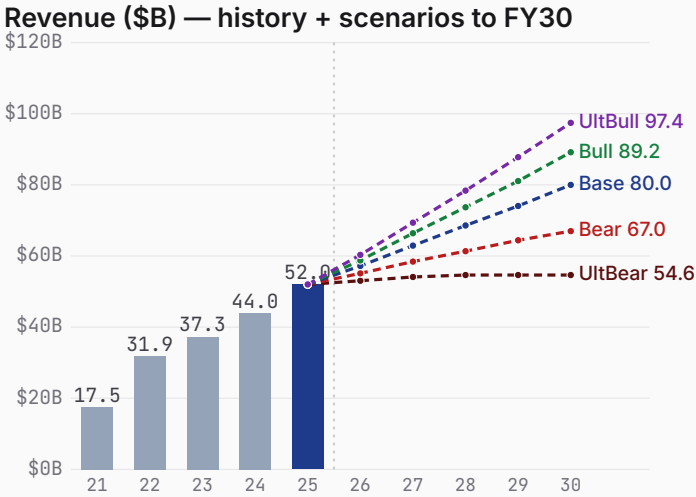
Ultra Bear 15% Bear 27% Base 33% Bull 18% Ultra Bull 7% · Weighted expected \$104.27 (+47.2% vs spot)

ULTRA BEAR	\$39.73	BEAR	\$74.74	BASE	\$109.49	BULL	\$154.85	ULTRA BULL	\$201.73
	-43.9% vs spot		+5.5% vs spot		+54.6% vs spot		+118.6% vs spot		+184.8% vs spot
Probability 15%		Probability 27%		Probability 33%		Probability 18%		Probability 7%	
AV bypasses the marketplace; toll erodes.		AV pressure; growth decelerates.		Stays the AV aggregator; ads + delivery margin.		Network holds; ads scale; AV accretive.		The AV demand layer; advertising platform.	
WHY 15%		WHY 27%		WHY 33%		WHY 18%		WHY 7%	
The autonomy paradox bear: Uber's biggest hedge (platform for all AVs) is its biggest vulnerability if a winning fleet goes direct. 15% weight on real disruption.		AV pressure + regulation + competition decelerate the network without breaking it. 27% weight as the 'contested but intact' path.		Uber stays the AV demand layer (Waymo productivity data supports it) and ads/delivery margins compound. 33% as the central outcome.		AV becomes a tailwind (Uber as the aggregator for cheaper AV rides) + ads scale. ~18%; the productivity data hints at it.		Uber is the demand layer every AV fleet needs + a major ad platform. ~7%, the asymmetric upside the AV-discounted entry is buying.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
Waymo/Tesla scale direct-to-consumer robotaxi fleets that don't need Uber's demand layer, and driver reclassification raises the labor-cost base. Gross bookings stall and the take-rate toll compresses.		AV uncertainty and competition slow GB to mid-single digits and cap margin expansion; Uber stays profitable but the network thesis is contested.		The modal path: Uber remains the demand aggregator for AV fleets, advertising scales past \$3B, delivery margins converge toward mobility's, and GB compounds low-double-digits at a rising FCF margin.		The network power holds, AV partnerships prove accretive (cheaper rides expand the TAM), advertising + Uber One drive a software-like margin mix, and GB compounds mid-teens.		Uber becomes the indispensable demand/marketplace layer for the entire AV ecosystem plus a >\$10B advertising platform, compounding GB high-teens at peak margins.	
DCF ~\$40 (-44%) — the network's value collapses if it's disintermediated from the supply side.		DCF ~\$75 (+6%) — roughly fair; the FCF defends the floor while the AV question hangs over the multiple.		DCF ~\$110 (+55%). At 14x FCF the market over-discounts the AV threat relative to the network's durability and the FCF ramp.		DCF ~\$155 (+120%) — the FCF machine re-rates as the AV fear proves overblown.		DCF ~\$202 (+187%) — the platform-for-all-autonomy outcome; ~7% probability.	

Uber Technologies business snapshot

Bear \$74.74 Base \$109.49 Bull \$154.85

FY21-FY25 history + FY26-FY30 scenario projections · calendar fiscal year · FY2025 + Q1'26 results



Sources: Uber FY2025 results (revenue \$52B, GB \$193.5B, adj EBITDA \$8.73B, FCF \$9.76B), Q1'26 (GB +25%). Revenue as a growth-rate path off FY25 (or GB x ~27% take); FCF = revenue x FCF margin; Gordon terminal. Equity stakes (Aurora ~\$1.4B) immaterial → no SOTP. EV/FCF vs DASH/LYFT.

Uber Technologies 7 Powers · the moat, scored

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Arena. Global mobility + delivery — Uber (two-sided rides + eats network, ads, Uber One) vs Lyft (rides), DoorDash (delivery), and the autonomous-vehicle stack (Waymo, Tesla); defending a network Power whose driver-supply side autonomy could commoditize.

POWER AUDIT
dominant-power durability: medium-high

POWER AUDIT · 7 POWERS

Scale Economies 	Largest GB base spreads fixed tech/insurance/support; data + routing density.
Network Economies · thesis leans here 	The dominant Power: two-sided liquidity flywheel, deepest marketplace globally.
Counter-Positioning 	Was the disruptor; AV-native players could counter-position against the human-driver model.
Switching Costs 	Uber One (~50M, ~half of GB) + cross-product habit; real but not deep.
Branding 	'Get an Uber' verb; default global ride-hail brand.
Cornered Resource 	No durable exclusive asset; the AV stack is the cornered resource Uber lacks (Waymo/Tesla have it).
Process Power 	Matching/pricing-algorithm + multi-product operational edge.

COMPETITIVE READ

Uber's network economies + scale are genuinely dominant — the deepest two-sided marketplace, now throwing off ~\$10B FCF with advertising and delivery margins still ramping. The entire terminal-value debate is the autonomy paradox: the network power is durable only if Uber remains the demand aggregator for AV fleets. At ~14x EV/FCF the market is pricing meaningful AV-disruption risk; the sign of the memo hinges on whether autonomy commoditizes the driver-supply side (ultra-bear -44%) or Uber tolls the cheaper AV rides (base +55%).

PEER SET

Waymo (Alphabet) AV leader; runs on Uber in Austin/Atlanta but separating in Dallas/SF — partner turning competitor.	· n/a
Tesla Camera-only robotaxi bet; could go direct-to-consumer and bypass the marketplace.	· n/a
DoorDash US delivery leader; richer EV/EBITDA, faster GOV growth.	27% gr · ~25x EV/EBITDA
Lyft Distant #2 in US rides; sub-scale margin.	15% gr · 3% mgn · sub-scale

THREAT VECTORS · FALSIFIERS

- Network Economies · Waymo/Tesla direct-to-consumer AV
falsifier: A major AV fleet scales D2C robotaxi without Uber's demand layer.
- Counter-Positioning · Driver reclassification
falsifier: A major-jurisdiction gig-worker ruling structurally raises the labor-cost base.
- Scale Economies · DoorDash / Lyft competition
falsifier: DoorDash extends its delivery lead or Lyft regains rides share, compressing take rate.

Uber Technologies show your work

Bear \$74.74 Base \$109.49 Bull \$154.85 · Weighted \$104.27 (+47.2%)

ULTRA BEAR					BEAR					BASE					BULL					ULTRA BULL				
\$39.73					\$74.74					\$109.49					\$154.85					\$201.73				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
5y revenue CAGR (%)					+1.0					5y revenue CAGR (%)					+5.2					5y revenue CAGR (%)				
Year-5 op margin (%)					5.0					Year-5 op margin (%)					11.0					Year-5 op margin (%)				
WACC (%)					11.0					WACC (%)					10.0					WACC (%)				
Terminal growth (%)					1.0					Terminal growth (%)					2.0					Terminal growth (%)				
Terminal FCF (\$B)					\$7.65B					Terminal FCF (\$B)					\$12.73B					Terminal FCF (\$B)				
Starting revenue (\$B)					52.00					Starting revenue (\$B)					52.00					Starting revenue (\$B)				
Scenario probability (%)					15					Scenario probability (%)					27					Scenario probability (%)				
5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B				
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	53.04	+6%	+7.96	+7.17	FY26	55.12	+9%	+9.92	+9.02	FY26	57.20	+11%	+10.87	+9.93	FY26	58.76	+13%	+12.34	+11.32	FY26	60.32	+14%	+13.27	+12.23
FY27	54.10	+6%	+8.12	+6.59	FY27	58.43	+10%	+10.52	+8.69	FY27	62.92	+12%	+12.58	+10.49	FY27	66.40	+14%	+14.61	+12.29	FY27	69.37	+15%	+16.65	+14.14
FY28	54.64	+5%	+7.65	+5.59	FY28	61.35	+10%	+11.04	+8.30	FY28	68.58	+13%	+13.72	+10.45	FY28	73.70	+15%	+16.21	+12.52	FY28	78.39	+16%	+18.81	+14.73
FY29	54.64	+5%	+7.65	+5.04	FY29	64.42	+11%	+12.24	+8.36	FY29	74.07	+13%	+15.55	+10.82	FY29	81.07	+15%	+18.65	+13.21	FY29	87.79	+16%	+21.95	+15.84
FY30	54.64	+5%	+7.65	+4.54	FY30	66.99	+11%	+12.73	+7.90	FY30	79.99	+14%	+16.80	+10.67	FY30	89.18	+16%	+20.51	+13.33	FY30	97.45	+17%	+24.36	+16.20
Σ PV explicit FCF					+28.93					Σ PV explicit FCF					+62.68					Σ PV explicit FCF				
+ PV terminal (g 1.0%)					45.85					+ PV terminal (g 2.0%)					228.84					+ PV terminal (g 3.0%)				
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV					\$74.78B					Operating EV					\$291.52B					Operating EV				
+ Cash & investments					\$2.70B					+ Cash & investments					\$2.70B					+ Cash & investments				
= Equity value					\$77.48B					= Equity value					\$294.22B					= Equity value				
FY30 shares (M)					1,950					FY30 shares (M)					1,900					FY30 shares (M)				
= Expected per share					\$39.73					= Expected per share					\$154.85					= Expected per share				
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$66.95	\$112.81	\$190.09	\$320.32		\$120.37	\$193.86	\$312.21	\$502.81		\$172.36	\$271.34	\$427.16	\$672.45		\$238.26	\$366.59	\$564.04	\$867.84		\$303.33	\$456.11	\$685.83	\$1,031.25	
0.95×	1.59×	2.68×	4.52×		1.70×	2.74×	4.41×	7.10×		2.43×	3.83×	6.03×	9.49×		3.36×	5.17×	7.96×	12.25×		4.28×	6.44×	9.68×	14.56×	

Uber Technologies

People · Opportunity · Context · Deal

Bear \$74.74 Base \$109.49 Bull \$154.85

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Dara Khosrowshahi

8 yrs in seat

3%

insider ownership

LOW

key-person risk

Capital allocation (realized)
The standout leg: turned to GAAP profit (FY2023, first ever) and ~\$6.9B FY2024 free cash flow, then opened capital return — a first \$7B buyback (Feb 2024) escalated to a \$20B authorization (Aug 2025, ≥50% of FCF). Divested the cash-burning bets (self-driving → Aurora; air taxi → Joby; bikes → Lime); legacy Didi/Grab stakes run down. (FY2024 GAAP net income was flattered by a ~\$6.4B tax-valuation release.)

Incentive alignment
Pay is PSU/PRSU-weighted (multi-year metrics: gross bookings, operating income, AV partnerships); FY2024 ~\$39.4M, the jump driven by share-price appreciation on already-granted awards, not a structural raise. Pay-for-performance, equity-led.

GOVERNANCE FLAGS

- single-class (one share, one vote) — super-voting eliminated in 2017 (pre-IPO, a SoftBank condition)
- separate independent chair (Ronald Sugar) vs CEO; majority-independent board
- founder Travis Kalanick fully exited (board + entire stake, Dec 2019); SoftBank overhang cleared
- low insider ownership (Dara ~0.07%; aggregate ~3-4%) — institutionally dispersed

PEOPLE READ

The professionalized-after-the-founder case: a hired CEO who turned Uber to free cash flow and a \$20B buyback regime, on a clean single-class register with an independent chair and no controller — the structural opposite of a founder-control name. The only real demerits: low insider skin-in-the-game and some execution-continuity tied to Dara.

THE FOUR LEGS

People

observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator (UBER 4.72)

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value (the +48% finding), then position-sized.

Uber Technologies

supporting analysis · disclaimers · glossary

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PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

~14x EV/FCF on \$9.76B FCF growing 40%+.
A dominant two-sided network priced at a mid-teens FCF multiple while FCF is still inflecting steeply — the AV fear is doing the discounting.
- 2

Advertising is the hidden high-margin lever.
>\$2B run-rate, +50%, near-100% incremental margin — the single biggest take-rate/margin-expansion driver, embedded in the segments.
- 3

Uber One + multi-product flywheel.
~50M members driving ~half of gross bookings; rides+eats+ads on one app deepen switching costs.
- 4

AV could be a tailwind, not just a threat.
Waymo on Uber outproduced 99% of human drivers; Uber's aggregator strategy + ~\$10B AV commitments position it as the demand layer.
- 5

\$20B buyback, net cash.
~7% FCF yield funding a large buyback at a depressed multiple — accretive.

FALSIFICATION TRIGGERS

Bull validation

autonomous trips scale on Uber's network profitably · advertising passes \$3B run-rate · delivery margin converges toward mobility's 8% of GB · GB stays mid-teens+

Bear validation

a major AV fleet (Waymo/Tesla) scales direct-to-consumer · driver reclassification raises the cost base · GB decelerates to mid-single

Reframe needed

if AV demonstrably disintermediates the driver-marketplace (fleets bypass Uber's demand), re-rate the network durability + terminal toward a commoditized-logistics multiple

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Gross bookings (GB) — Total value of rides+eats+freight (~\$193.5B FY25); revenue is GB x ~27% take rate — the top of the model.

AV / autonomy paradox — Uber's strategy to be the demand aggregator for all AV fleets is also its vulnerability — a winning fleet could bypass the marketplace.

Network economies — Helmer Power: more riders ↔ more drivers → lower wait/price → more riders; the deepest two-sided marketplace globally.

Uber One — ~50M-member subscription driving ~half of gross bookings; the frequency/retention + switching-cost flywheel.

FCF margin — Free cash flow / revenue (~19% FY25, rising); the mature-DCF lever as ads + delivery margin mix up.